CASCADIA ANALYTICS

INVESTMENT SCORECARD

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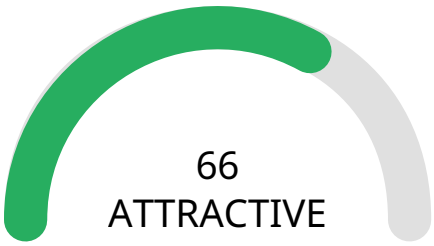
Valero Energy Corporation (NYSE)

As-of: 23-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$419.48 [Mkt 23-Oct-26]

Market Cap: $123.9B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 70

Best-in-class US refiner with scale and Gulf Coast cost advantage. But refining is deeply cyclical: FY25 net margin was 1.9%. Quality is relative to a tough industry.

2. Recent Trend — 95

Crack spreads exploded in Q3; stock +49% in the quarter. Q2 net income of $3.72B was 4x the full FY25 total. The cyclical upswing is violent.

3. Forward Growth — 50

Refining is not a growth industry; this is a margin cycle, not structural expansion. High margins eventually attract supply response or demand destruction.

4. Valuation — 55

At $419.48 vs $400.46 DCF base, the stock is 30% above fair value but below the $584.69 bull case. NTM P/E 9.4x looks cheap only because earnings are at a cyclical peak.

5. Catalysts & Risk — 60

Q3 earnings should be a record, but expectations are now sky-high. Margin mean-reversion is the dominant risk. Geopolitical disruptions cut both ways. Neutral skew at best.

Investment Thesis

- **Cyclical Peak Earnings:** Q3 2026 crack spreads reached extraordinary levels on Russian and Middle Eastern refining disruptions. JPMorgan estimates Valero pretax of $8.95B (+50% QoQ). The stock gained 49% in Q3 alone [Mkt Oct-26].

- **Best Operator in Refining:** 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total [8-K Q2 2026].
- **Priced for the Cycle:** At $419.48 [Mkt 16-Oct-26], the stock sits between our $400.46 DCF base and $584.69 bull case. NTM P/E of 9.4x is a classic peak-earnings multiple. This is a trade on margin duration, not a compounder.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$44.5B [10-Q Q2 2026]	+38% [10-Q Q2 2026]	Up
Net Income (Q2 2026)	$3.72B [10-Q Q2 2026]	+340% [10-Q Q2 2026]	Up
Net Margin (Q2 2026)	8.36% [10-Q Q2 2026]	+6.4 pts [10-Q Q2 2026]	Up
Refinery Utilization	97% [8-K Q2 2026]	Record [8-K Q2 2026]	Up
Revenue (FY25)	$122.7B [10-K FY25]	-5.5% [10-K FY25]	Down
Net Income (FY25)	$2.35B [10-K FY25]	-15.2% [10-K FY25]	Down
Net Margin (FY25)	1.91% [10-K FY25]	-0.2 pts [10-K FY25]	Down

Historical Financial Trend

Metric	FY21	FY22	FY23	FY24	FY25
Revenue	$114B [10-K FY21]	$176B [10-K FY22]	$144B [10-K FY23]	$130B [10-K FY24]	$123B [10-K FY25]
Net Margin	0.9% [10-K FY21]	6.5% [10-K FY22]	6.1% [10-K FY23]	2.1% [10-K FY24]	1.9% [10-K FY25]
Throughput (Mbpd)	2.85 [10-K FY21]	2.96 [10-K FY22]	3.02 [10-K FY23]	2.95 [10-K FY24]	3.00 [10-K FY25]

Valuation

Absolute (5/10)

NTM P/E 9.4x [Mkt 16-Oct-26]
DCF Base $400.46 vs $419.48 spot [Mkt 16-Oct-26]
PEG 1.91 [Mkt 16-Oct-26]

Low P/E reflects peak earnings. DCF implies 5% downside to base; bull case $584.69 is the upside bound.

Versus Peers (5/8)

MPC, PSX similar single-digit NTM P/E [Peers 16-Oct-26]

In line with refining peers; the whole group is priced for peak margins.

Versus History (5/7)

Trading at the high end of historical price range [Mkt 16-Oct-26]

Typical late-cycle positioning: price highs coincide with earnings highs.

Catalyst Timeline

Oct/Nov 2026 [Cons]
Q3 2026 Earnings: JPMorgan estimates pretax $8.95B (+50% QoQ). Expectations are sky-high.

2026-2027 [Mkt]
Diesel crack spreads and refinery outage duration determine margin persistence.

2027 [10-K FY25]
Renewable diesel and low-carbon projects diversify the earnings base.

Top Risk Factors (Item 1A)

1. Margin Mean-Reversion: Crack spreads are mean-reverting; current diesel margins are described as extraordinary and will normalize. [10-K FY25]

2. Operational Volatility: Refinery outages, hurricanes, and regulatory changes can swing quarterly results violently. [10-K FY25]

3. Energy Transition: Long-term demand erosion from EVs and renewable fuels pressures the terminal value. [10-K FY25]

What Would Change Our Score

A faster-than-expected margin collapse would cut Trend and Valuation sharply. Prolonged diesel tightness into 2027 supports the bull case.

Forward Growth Drivers

- 97% refinery utilization; Gulf Coast and North Atlantic throughput records [8-K Q2 2026]
- Crack spreads at extraordinary levels on Russian/Middle East disruptions [Mkt Oct-26]
- Low-cost Gulf Coast footprint with scale advantage over smaller refiners [10-K FY25]

Missing / Modified Data Log

- Q3 2026 results not yet reported at time of writing; used Q2 actuals and Q3 estimates.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

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